



The FMS Delhi Case Book



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The Consulting Interview

Introduction to Case Interview Process

Applicants to consultancy firms can expect to undergo several case interviews (typically three to four), each lasting in the region of 30 -45 minutes .

Case Studies are an integral part of consulting interviews. The second to the second last round of a consulting interview process is entirely dedicated to case interviews.



Types of Cases

Most Frequently Encountered

Estimation

How big is the tablet market in India?
What is the financial gain expected out of holding the Olympics?
What is the financial gain expected out of establishing metro rail facility in Bangalore?

Value Chain

How can the manufacturer decrease throughput time?
Cost benefit analysis of outsourcing a part of the supply chain
Distribution network analysis

Strategy

Market entry strategy for a company X into a country Y
Targets evaluation merger and acquisition
New product design and corresponding go-to-market strategy

Others

Financial Analysis

Calculate NPV of prospective projects
Calculate ROI for different investment options

Puzzles

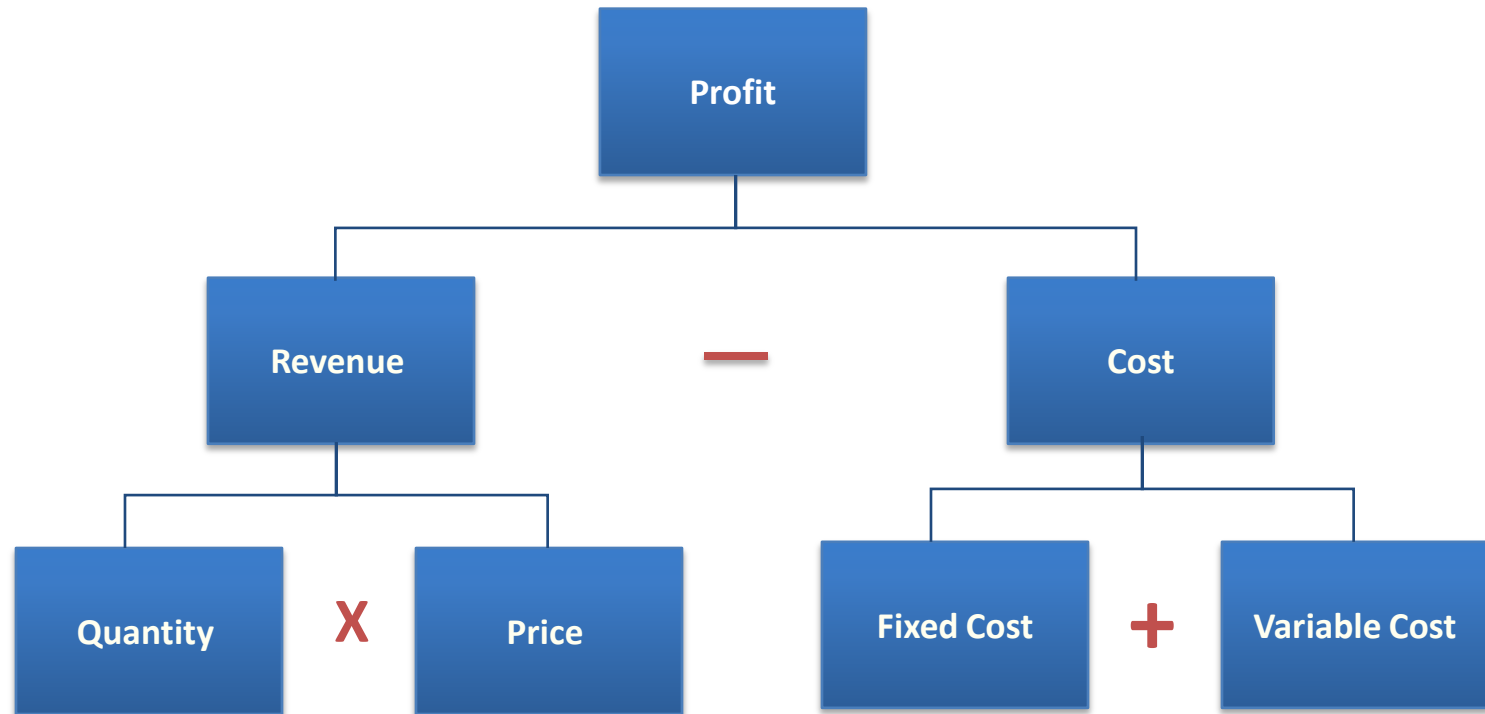
With eight marbles and one balance, what is the minimum number of moves you could make to figure out which is lighter than the others?

The first step of solving a case is to understand the exact problem of the client . There is no point ending up solving the wrong case.

Frameworks

Profitability Framework

The most important framework which candidates should know like the back of one's hand. Profitability is the underlying issue that drives all possible client problems and this framework can be a useful tool for opening up the case and gather desired information.



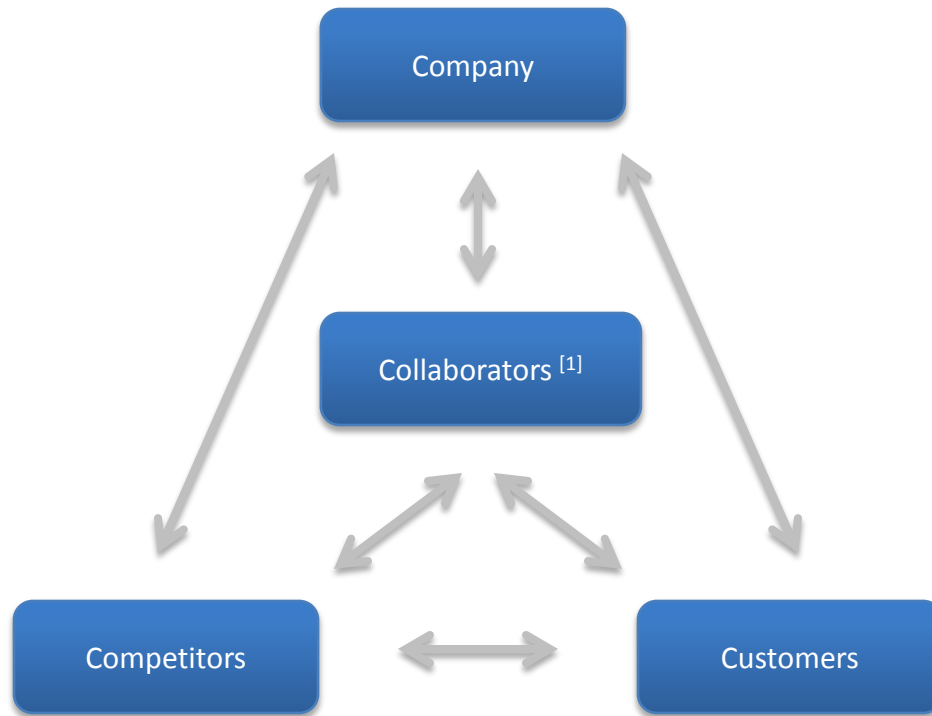
Problems generally focus on revenues or cost and rarely delve upon both. One's ability to quickly eliminate one and start making inroads into the other is always appreciated

The framework helps you identify the cost drivers/ revenue drivers that one should focus on to solve the problem

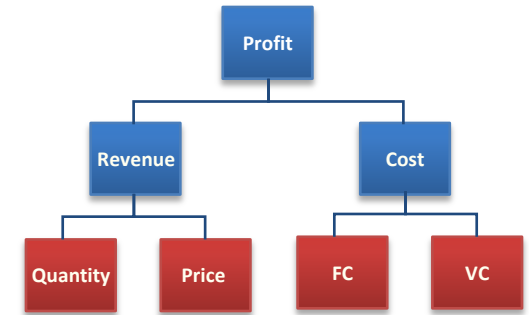
Using this framework properly is essential in cracking a case interview

Four Cs Framework

The Four Cs framework, is useful in understanding the source or cause of broad business problems including marketing or internal performance issues.



The framework is generally used in conjunction with the profitability framework to get a better view of the problem at hand



If you are stuck at any of the above four points use 4 Cs

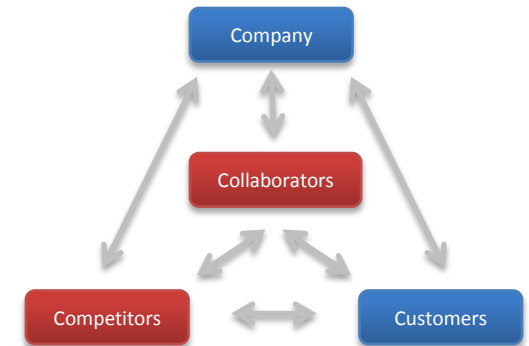
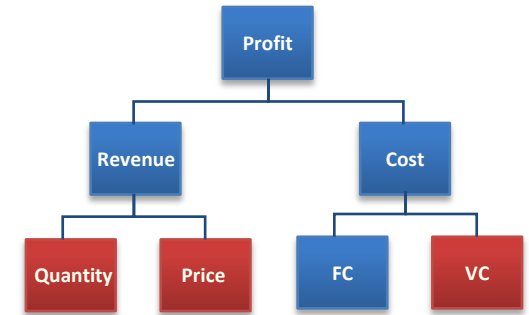
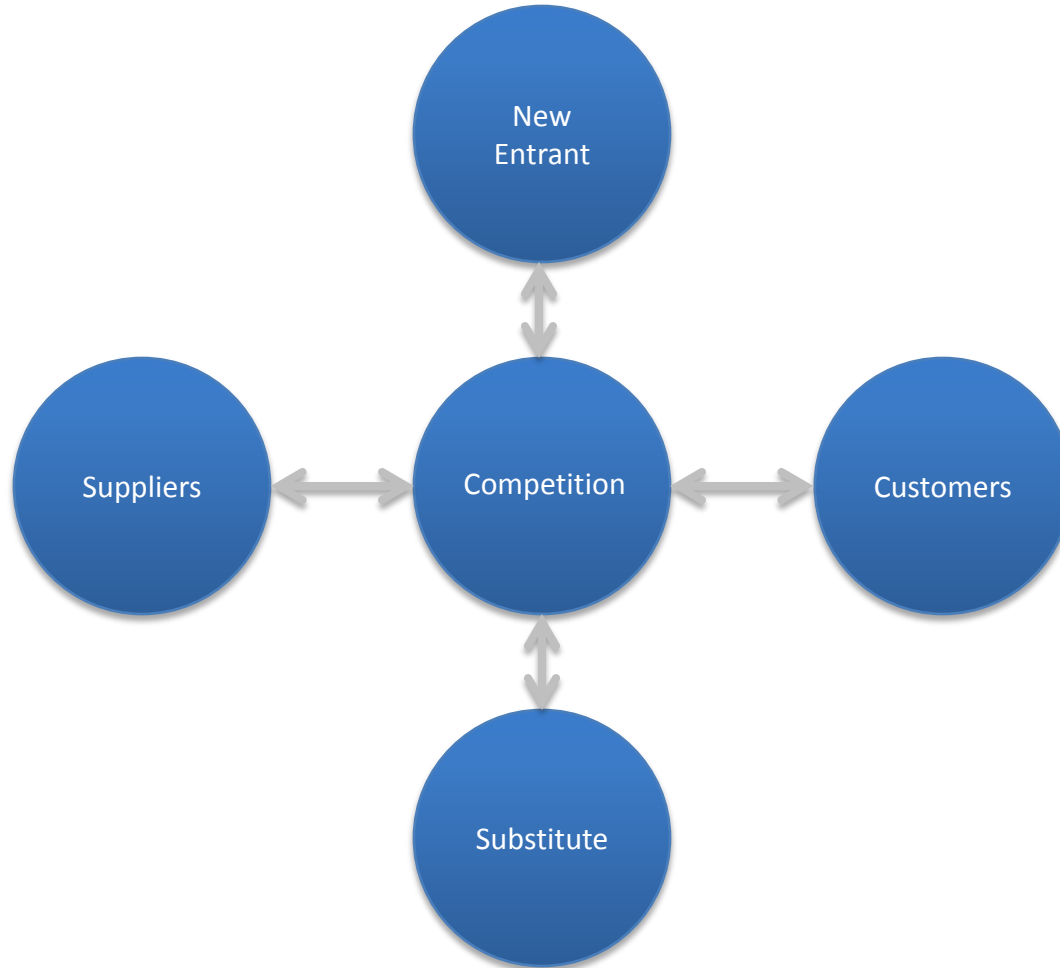
Say using the profitability framework you have understood that the profitability of the firm is going down as the variable costs are going up. This may be because the production cost (Company) are going up or the supplier costs (Collaborator) is increasing.

This framework is to be used only if the problem is not very apparent from the profitability framework

[1] Collaborator : Suppliers , Distributors etc

Porter's Five Forces

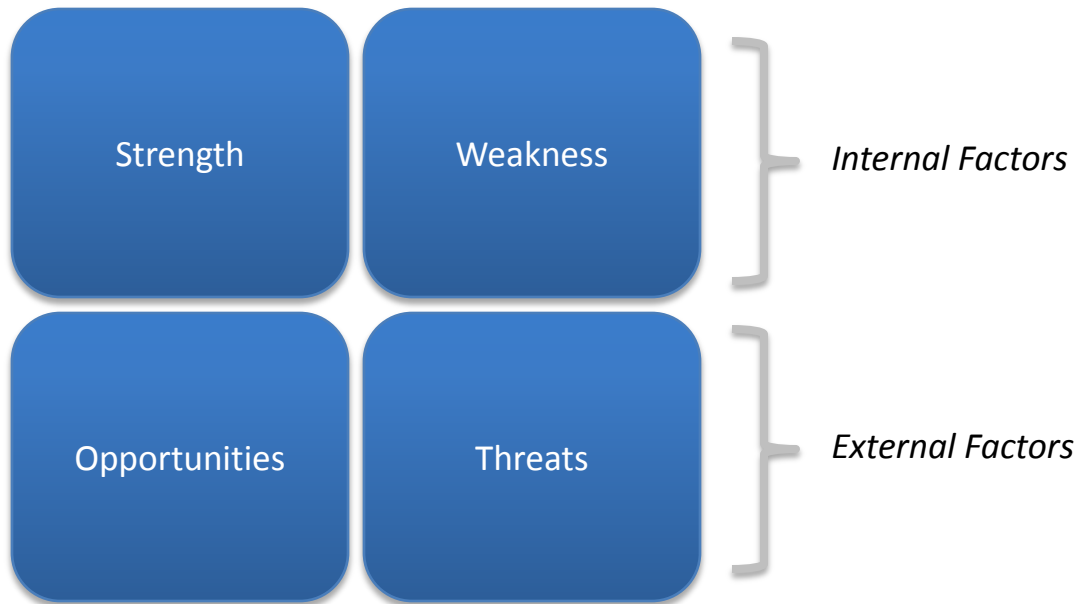
Porter's five forces are used to assess the attractiveness of an industry and can be used to evaluate market entry and M&A opportunities.



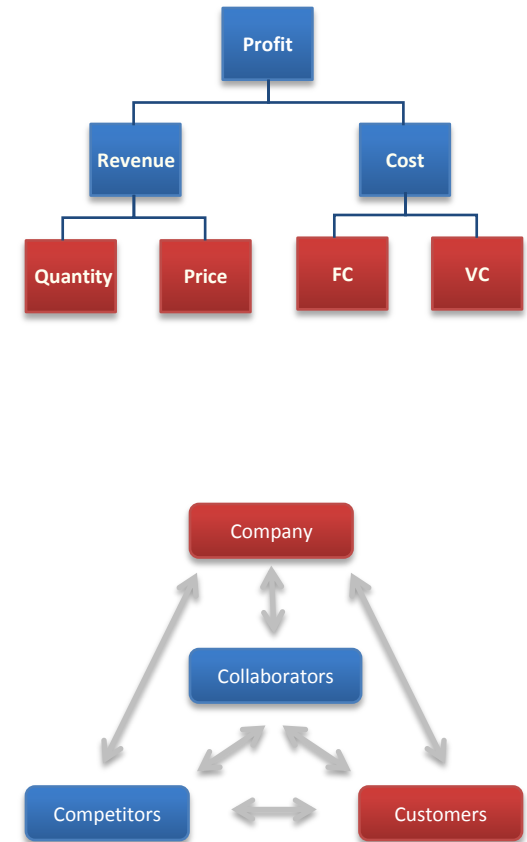
Porters is an extremely powerful framework that can be used in profitability as well as in cases where market evaluation or industry evaluation is required.

SWOT Analysis

When evaluating a market entry (geography, new product lines, etc.) or business opportunity, a SWOT analysis is used to assess the business environment.



SWOT helps in cases where one needs to evaluate a company either as an M&A target or in cases you are to propose a entry strategy in a new market



SWOT Analysis is a powerful company analysis tool but needs lot of detailing to arrive at acceptable solutions

Four Ps

The four Ps are useful when evaluating a product or marketing strategy and can be used to determine the cause of an increase or decrease in sales; it can also help in identifying new opportunities to market new or existing products.

Product

Does the product satisfy customer needs?
Is the product differentiated?

Price

At what price are the competitors selling their products?
Has there been any recent changes in the price of your products?

Place

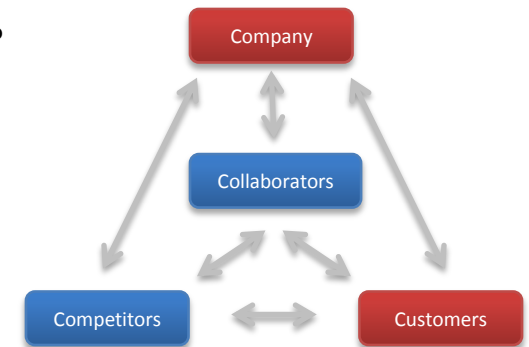
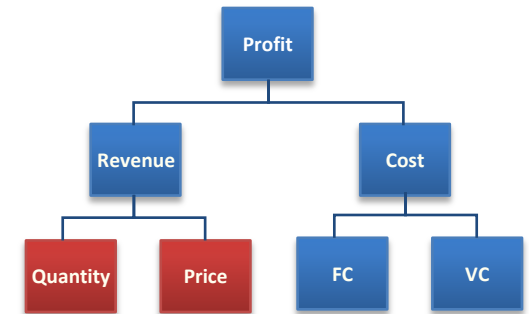
Where have you traditionally sold your products?
What markets do you think ideal to launch new products?

Promotion

What are the different promotion strategies followed by the client?
Based on your segmentation what should be the ideal positioning of the product/brand?

The framework is helpful in revenue problems. In cases where the company is losing market share it is usually one or more of the Four Ps that is the reason.

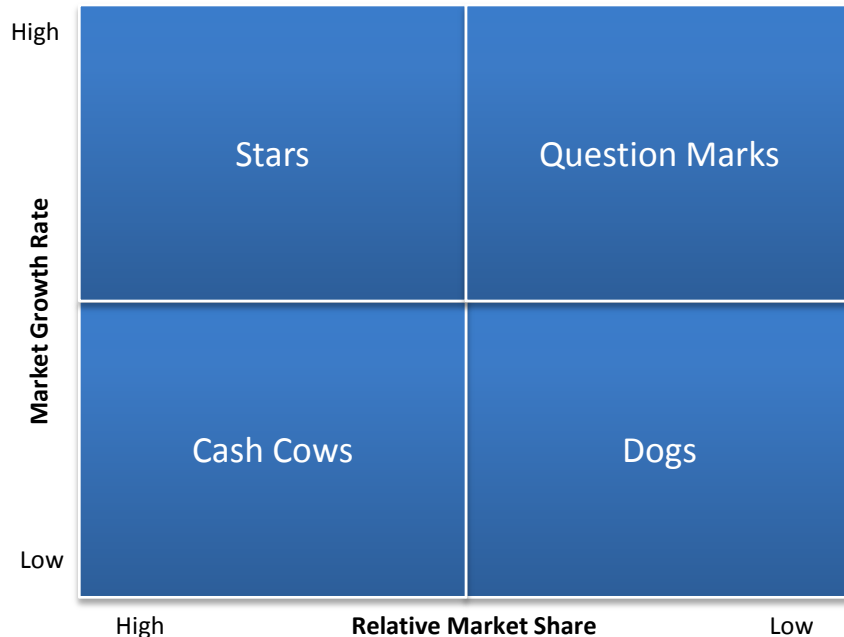
This is usually a theory heavy framework and would require a bit of reading on 4Ps of major brands to use this effectively.



An effective tool but requires a bit of theoretical pre-reading

BCG Matrix

The BCG growth matrix is used to evaluate a company's portfolio of products or product lines in order to determine in which to further invest or to divest.



BCG matrix or the growth share matrix is an interesting way to categorize the product portfolio of a company.

The 2X2 matrix works in the following way:

The products that have high market share and operate in a market that has high growth rate are put up as 'Stars'

Products which have low market share in a non-growing market are put up as 'Dogs'.

Similarly one can characterize 'Cash Cows' and 'Question Marks'

Product

Price

Place

Promotion

Companies should ideally refrain from investing in Dogs and ideally invest more in Stars and Question Marks to an extent as they have a better chance of providing higher returns. Cash Cows on the other hand have high market share in a non-growing market. Hence investment in these products should only be with a perspective of retaining market share.

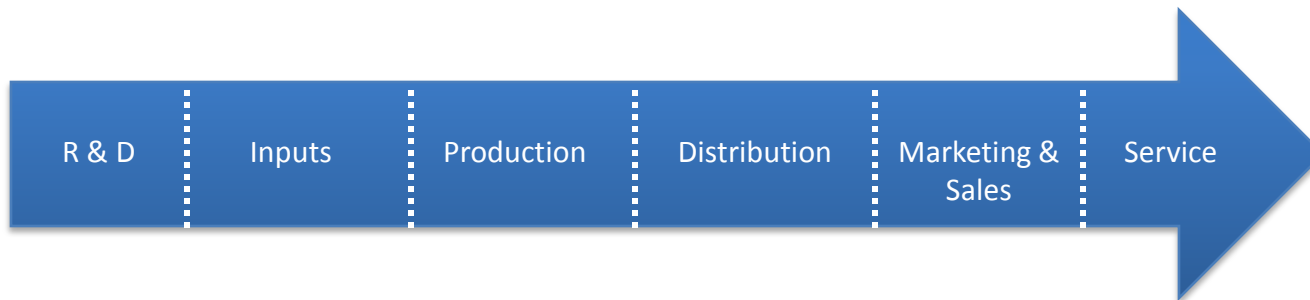
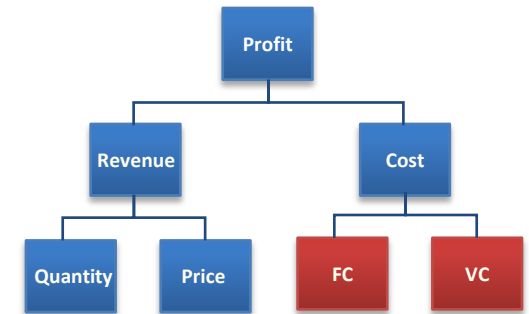
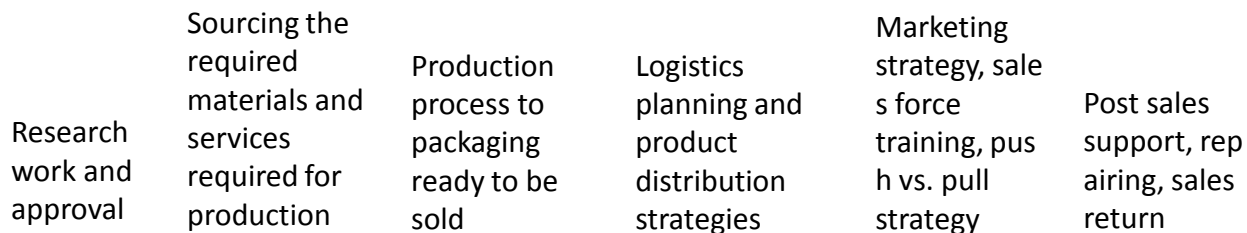
The framework is an excellent tool to close a case and present your findings. If you understand it's a product problem and sum up your case with a BCG matrix the solutions flow very logically and make up for a great closure.

It is a very powerful tool to tackle product portfolio analysis cases to drive up return on investment

The Value Chain

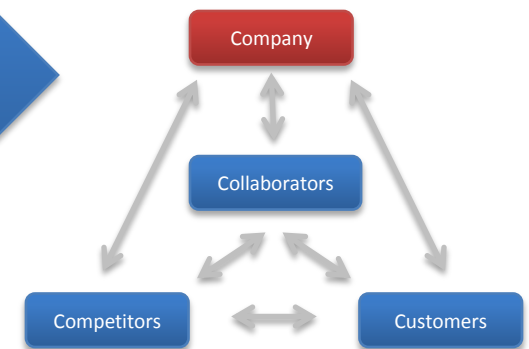
Value chain analysis is used to look at activities throughout organizations, supply chains and distribution networks. The value chain is a useful framework to understand the workings of an organization, to determine where value is added and to identify weaknesses or bottlenecks within an organization.

Example from manufacturing industry



The framework is useful to solve cost problems. Say you have understood that it is the variable costs that are going up.

it is a good practice to break down the entire manufacturing process and find out the component that is the cause

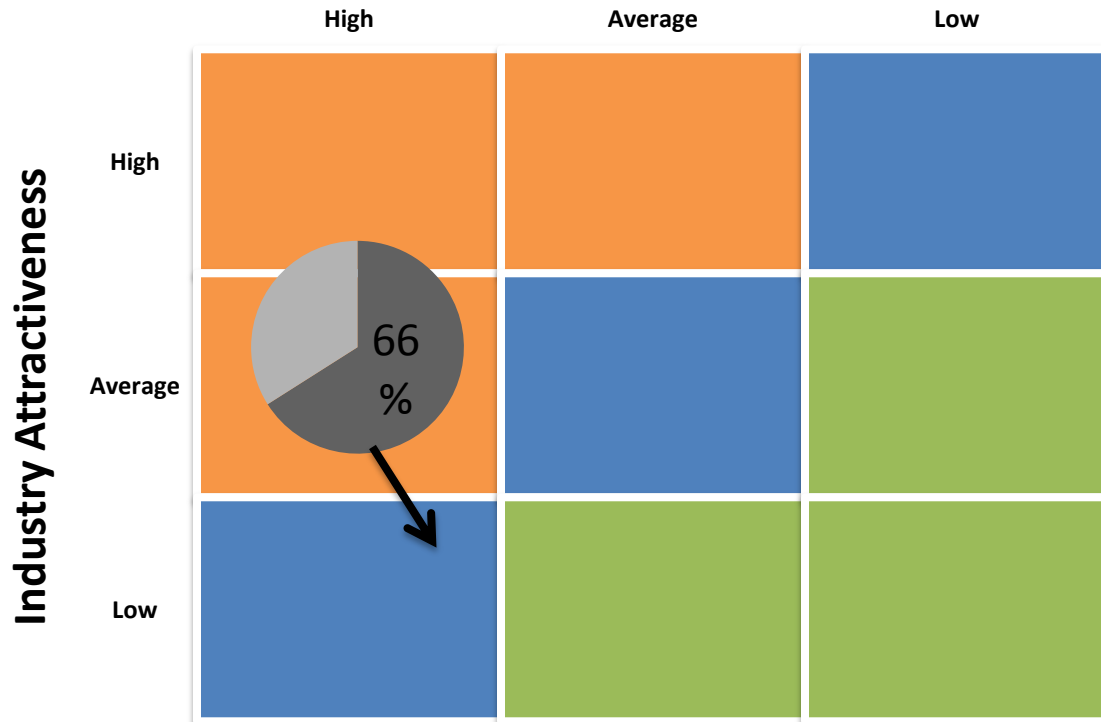


A very simple yet powerful framework and is almost always helpful cracking cost cases

GE/McKinsey Matrix

The GE/McKinsey Matrix is a 9 cell matrix mapping Industry Attractiveness and SBU strength on the two axes. It's a more Generalized version of the BCG Growth Share matrix.

Strategic Business Unit Strength



The **Industry attractiveness** is determined by factors such as: -

- Market Growth Rate
- Market Size
- Profitability
- Macro-environmental factors
- Competitor strength

The **Business Unit Strength** is determined by factors such as: -

- Market Share
- Growth in Market Share
- Intangibles
- Distribution Channels



The strategy with respect to any business unit would depend on where it lies within this 9 cell matrix and would differ even within the 3 groups, i.e. Grow, Hold and Harvest.

Although a big improvement over the BCG Growth Share matrix by virtue of the fact that it considers more factors, it has its own limitations. For e.g. by failing to consider interactions amongst business units.

Solved Cases

Basmati Rice (1/5)

BCG

Our Client is a Global Commodities Player. They are considering entering the Packaged Basmati Rice Segment in India? What would you recommend?

Opening the Case

Clarifying Questions

So what I basically understand is that the client is a global commodities player which wants to enter the Indian Market and we basically need to advise them on the move. So do we also have a say on whether they should enter the market at all or they have already made up their mind?

No we will also want recommendation from your side on whether the market is attractive enough.

So when you say entry strategy for packaged Basmati rice segment I understand we need to touch upon the following things:

1. Entry barriers 2. Target Market 3. Price Point 4. Sourcing Strategy 5. Distribution Strategy

Looks exhaustive to me, go on.

Analyzing the Case

Customer

- Gives us market size
- Target market

Company

- Entry barriers
- Core competencies

Competition

- Pricing strategy
- Market share estimates

Collaborators

- Suppliers and distributors
- Sourcing/Distri. strategy

Customer

We will start by understanding the market we are looking at and the attractiveness of the same. For that we need to do a market sizing for the basmati rice market in India. Does that seem okay to you?

That seems right. Go ahead.

- So looking at the market we know that Basmati Rice is a premium commodity and hence will not be used by 30% of the population living below poverty line.
- For the rest of the 70% of the population we can distinguish them into **heavy, medium** and **light consumers**.
- Now Basmati Rice is mostly used a product used typically during festivals and celebrations. It is a traditional product and is more consumed in tier 1, tier 2 and rural population.
- 30% of the population living in urban set up mostly have the means to buy Basmati Rice but use it sparingly anyways and would typically form the **high** and **medium consumers**.

Basmati Rice (2/5)

- The population of tier 1,2,3 cities are typically twice the number of people in metros
- So we can assume around **20%** are **medium level consumers** having means but not much of an intention to buy
- The rest **10%** have the means and intention to buy and are **heavy consumers**
- Looking at the rural population of 70% we can say 30% of the people living under poverty line are mostly from the rural India and hence **40%** of the rural population are roughly living above poverty line. This should be roughly the percentage people with **low consumption level**

Heavy Consumers		Medium Consumers		Light Consumers	
Weekly Usage Given 250 grams in one time usage/week for a household of four people. Monthly usage of 1 kg <i>Total Usage : 12 Kg.</i>		Weekly Usage Given 250 grams in one time usage every two weeks for a household of four people. Monthly usage of 0.5 kg <i>Total Usage : 6 Kg.</i>		Weekly Usage ~0 Annual Usage Birthdays/Festivals: 15 days Each day usage 0.5 kg. <i>Total Usage : 7.5 Kg</i>	
Annual Usage Birthdays/Festivals: 15 days Each day usage 1 kg. <i>Total Usage : 15 Kg</i>		Annual Usage Birthdays/Festivals: 15 days Each day usage 0.5 kg. <i>Total Usage : 7.5 Kg</i>			
Consumption/household	27 kg		14 kg		8 kg
% Population	10 %		20 %		40 %
Total Population	100 mill		200 mill		400 mill
Total Consumption	2700 mill		2800 mill		3200 mill
8.7* 60 billion = 540 billion INR					

As you see the rough market estimates are around 540 billion INR. Are these in line with what you thought the market size to be?

Yes they do. I am happy with your calculations

What growth rates do you perceive in this market?

There is a >10% growth rate can you find out the reason for the same. Let me know if this growth is sustainable

What I see of this growth rate is that the way I have done the population divide there are lot of people moving from light consumers to medium consumers. The bulging growth of the Indian middle class and security in terms of daily bread has led to opportunities in indulging in premium commodities like Basmati Rice. In terms of sustainability it is only the upper middle class who are seriously considering on reducing their carbohydrate intake who are looking to replace rice with healthier options. This in itself is a very small segment. Again Basmati is used generally in special occasions and not daily. People generally do not compromise on taste and traditions in such occasions. Hence I feel there is no direct threat to this growth rate from micro factors. However if certain macroeconomic factors seriously dents the overall growth and prosperity of the country Basmati Rice falls under that category of goods whose numbers will fall sharply.

Basmati Rice (3/5)

Fine you can go ahead given the limited data in the case that macro factors remain unchanged
Thanks, that helps a lot . I will move on to the next bit of our discussion

Having calculated the market size and an estimated growth rate with us we know the attractiveness of the market. We will now move into understanding are entry points in that particular market. Do you have any data on this?

Be more specific what data you require

You must have categorized India in geographical sectors depending upon parameters to judge the attractiveness of the regions.
What do you think can be the parameters to determine attractiveness? I don't have data on geographies with me but I need you to form a framework on which I can evaluate the locations once I have data on them

For that I need have a look at the company and the competition
Okay go ahead

Company

Sir, what I know about the company is that you are global commodities player. Can I know more about the business model as to what you source, what you build and how you distribute your products.

We enter into seasonal contracts with farmers directly who supply us their produce. There is fixed rate and quality agreed upon at the start of the season. When we get the produce we basically package it into SKUs and transport it to retailers. Our strength lies primarily in our distribution model and packaging technologies. We use advanced technology in packaging the produce capturing the essence and freshness of the produce better than our competitors.

Are you responsible for the transportation costs both from suppliers to plant and plants to retailers?
No suppliers send their produce as a part of their responsibility. We only take care of transportation from plants to retailers

Anything other than this that I need to know about the company that I am probably missing?
I think we are good here

Basmati Rice (4/5)

Collaborators

Extending our discussion over your sourcing strategy I would like to know how exactly you get in partnerships with, let's say we start with the sourcing side, the farmers/land owners? I mean how do you incentivize them to sell their produce to you and not the competition?
Look farmers look for trust its more of a long term relationship that they share with players like us that makes the difference

Competitors

Extending our discussion to the existing competition in the market. What do we know about the players in the market, their market shares?

There are very few big players in the market. Even the big players are regional players. They serve regions in India whereas most of the demand is met through the unorganized sector. In terms of market share the three biggest players for around 6% of the market share.

Okay what about the price point at which they provide the rice? What is the price difference between organized and unorganized sector?
For the organized sector the price lies around 55-65 INR/kg. Whereas for the unorganized sector the prices vary from 45-65 depending on availability and demand

Is the demand for Basmati concentrated in certain parts of India or is it uniform?
The demand is prevalent across India.

Basmati Rice (5/5)

Closing the Case

Okay so summing up the discussion on what the factors where initially

Customers	Market Size and attractiveness	<i>Sizeable market estimate and attractive growth rate</i>
	Target market	<i>Middle and upper middle class folks in semi urban localities who have the means to consume Basmati rice are traditional and are less carbohydrate conscious</i>
Company	Entry Barriers	<i>Relationship with upstream partners biggest concern. Can be solved by figuring out locations where bigger Indian players are not present . Just 6% of the demand is met by them. So we should not look at a head on competition with them but to compete with the unorganized sector present in most markets</i>
	Core Competencies	<i>Packaging and distribution abilities. Underlining again why upstream partners are more of a concern than downstream</i>
Competition	Market Share Estimates	<i>If your core competencies are strong enough to be differentiating to your customers, you can deliver more value not only in quality but faster cash conversion cycles. This will lead to faster growth. It is difficult to put a figure straight away however there is huge scope when you look at the fact that the market is very fragmented</i>
	Pricing Strategy	<i>Price dictates quality in a lot of occasions and hence it is not advisable to offer products at a lesser price even while competing with the unorganized sector.</i>
Sourcing Strategy	Upstream Strategy	<i>Try to facilitate farmers by providing them a better price that what they get selling it to the unorganized sector. Security of entering into a contract before the season. Possible aid in delivery and payments</i>
	Downstream Strategy	<i>We can take some liberty when it comes to location preferences. Our distribution system and better packaging gives us the option of placing our plants closer to farmers</i>

Telco Trouble (1/3)

Our Client is a large Telecom Operator. They have been recording losses. Find out why?

Opening the Case

Clarifying Questions

So what I understand is that I need to identify the major causes for the client recording losses. Is there anything that I need to look into?

We would also like to suggest ways so that we overcome the current situation

Do we have any perspective about how major players in the industry are doing? Are they also recording losses?

No the bigger players are not recording losses however some of the new entrants have had a tough run lately

Just to understand the nature of the losses is it the first occasion that you have incurred losses or it has been going on for some time?

It is the second consecutive quarter that we have incurred losses

Analyzing the Case

As we know that profits comprise of revenues minus cost, the incurred losses may be because of increasing costs, decreasing revenues or both. Looking at the costs, have your costs increased in the last few quarters?

The costs have remained more or less same for the last few quarters

So now we will like to look into the revenue part of the problem

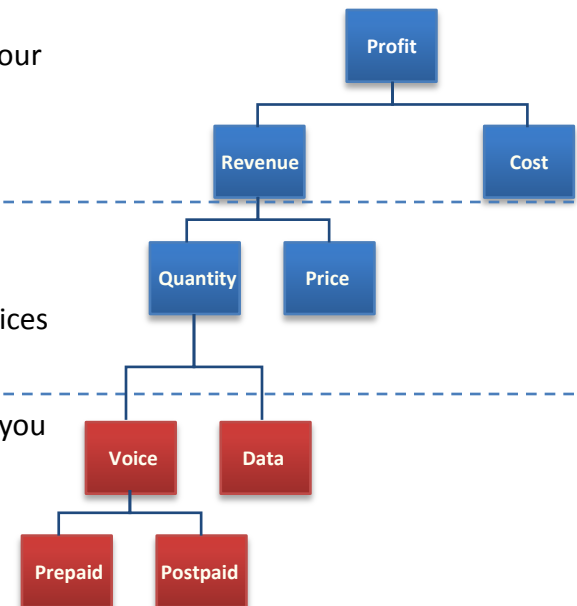
Looking at the revenues we like to break it into two major components Quantity and Price. Lets start with quantity first. So if I need to look at quantity I would like to understand the services that you offer and the quantity of usage of each of these services

Okay. The services that I would like you to look at is our voice and data services

Okay should I know some other segmentation of your services ie. data and voice that you provide?

While looking at voice you can further subdivide it into prepaid and postpaid services.

Though we provide data in postpaid and prepaid form as well but there is no usage/pricing difference between them



Telco Trouble (2/3)

BCG

Analyzing the Case

Do we have usage data over the last few periods for your different products : a) Prepaid voice calls b) Postpaid voice calls and c) Data Usage

Actually we do, just follow the chart

Thanks, I would like to know if the competition is selling the same products or are also in the business of selling some other products which are good substitutes to the products you are selling accounting for the fall in usage of your prepaid usage

No our competitors are operating with the same products

Moving on to the price part of the analysis can I have the price point at which you sell your products vis-à-vis your competition?

Yes sure, just follow the charts

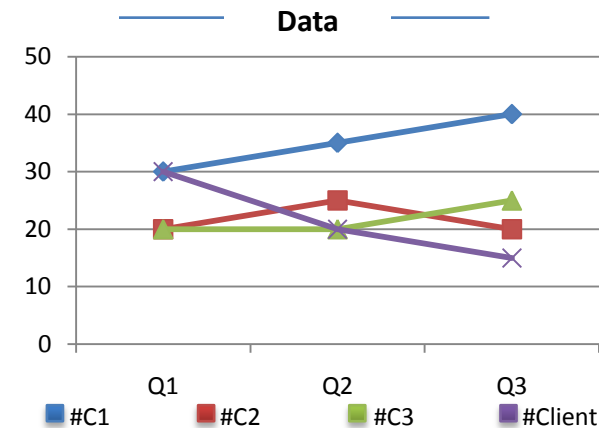
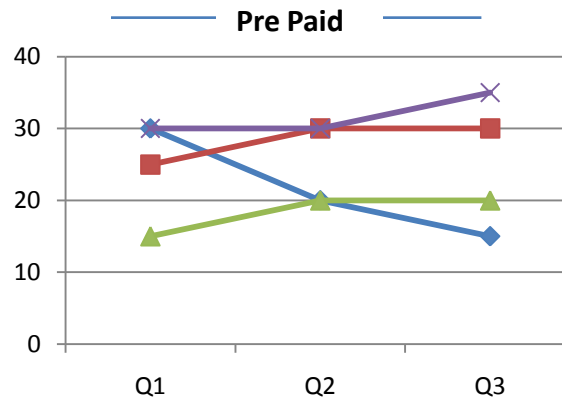
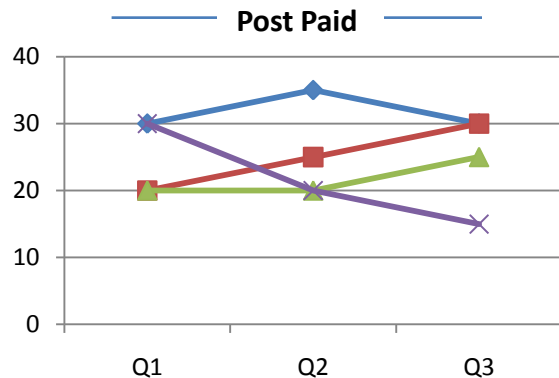
Product	Q1	Q2	Q3
Post Paid	1.20	1.25	1.25
Pre Paid	1.00	0.82	0.60
Data	90	105	120

#C1			
Product	Q1	Q2	Q3
Post Paid	1.20	1.10	1.00
Pre Paid	1.00	0.95	.90
Data	90	120	150

#C2			
Product	Q1	Q2	Q3
Post Paid	1.25	1.00	1.00
Pre Paid	0.95	1.00	1.00
Data	100	120	130

#C3			
Product	Q1	Q2	Q3
Post Paid	1.20	1.10	.95
Pre Paid	1.00	0.82	.90
Data	90	105	120

Market Share:



Closing the Case

Service		Price		Market Share	Competition
<i>Pre Paid</i>	↓	40 % decrease	↑	16% increase	Competition decreased prices to maintain market share
<i>Post Paid</i>	→	4% increase	↓	50% decrease	Huge decrease in market share, competition decreased prices to about 10%
<i>Data</i>	↑	33% increase	↓	50% decrease	Competition increased prices by almost the same amount and even more however they maintained/increase market share

 Suggestions

- 1 For Post Paid services you are probably losing market due to your prices. Concentrate towards benchmarking your price with your competition. The amount of market losing is hurting you much more than the amount you are making due to increase prices
- 2 For Data services most competition have increased prices, #C1 has increased prices by 66% without affecting their market share. There has to be some service level benchmarking as to what exactly the competition is offering under the header of data services
- 3 Post Paid users generally use data services more. Hence proper alignment of one with the competition will drive sales of the other and vice versa. I complete by suggesting a proper service level benchmarking for the data services and aligning the price points for post paid communication

Joint Venture (1/3)

BCG

Our client is a multi conglomerate company wants to enter the IT industry. How should they select what companies to have a joint venture with?

Opening the Case

Clarifying Questions

Just to understand the client better, could you tell me a little more about their business operations ?
The client has operations across various industries like materials, chemicals, energy, consumer products etc.

Do we I also need to evaluate whether the decision to enter the IT industry is right or wrong for the client?
No, the client has done their homework and analysis and have established their decision to enter IT. You need to help them suggest possible joint venture

Are there any budget constraints or location/business preferences that the client has in mind for potential targets?
No, the client is looking to tie up with the most viable partner. They have no constraints/preferences.

Analyzing the Case

Industry

Since we know the client is definitely going to enter the industry, can I get some understanding of the existing segments/portfolios?
The industry has the following segments:

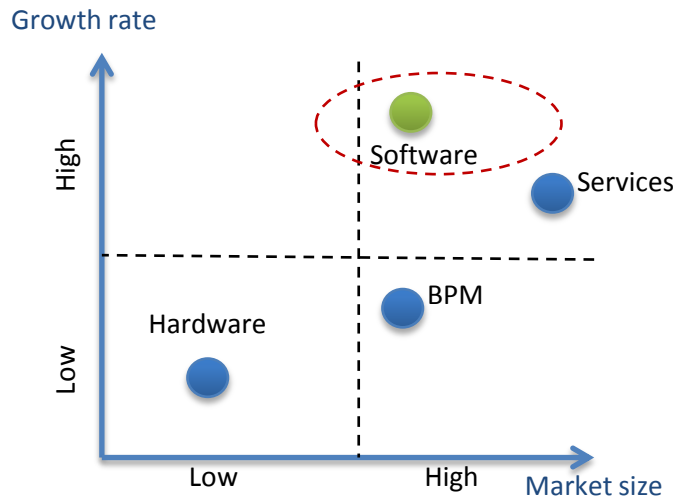
- *IT Services*
- *Business process management*
- *Software products and engineering services*
- *Hardware*

Alright. That helps me visualize the potential sub-sectors better. I would like to analyze each sub-sector to see if there is a particular opportunity in any one of them that our client can capitalize on. Could you throw some light on market size and growth rates of these segments/product portfolio ?

	IT Services	BPM	Software & Engg..	Hardware
Market size	\$56.3B	\$20.9B	\$17.9B	\$13.3B
Growth rate	High → Moderate	Moderate → Low	Moderate → High	Moderate → Low

Joint Venture (2/3)

BCG



Looking at the market size and growth rates, I believe the IT software and IT services segment are the two most lucrative segments. However, given that IT services has already reached its peak and is tending towards a slowdown, IT software is the best entry segment for our client.

Can you throw some light on the competitive scene in this segment and whether that makes it an attractive option?
This segment has seen substantial growth recently and as the pie is growing larger, there is scope for firms to prosper. Healthy competition exists in this segment.

Company

Now that we have shortlisted a target segment and have established a preference towards this segment, we can look at potential firms with whom we can plan a joint venture.

There are many small and niche firms playing in this space. However, top 3 firms account for close to 70% market share. We would like to tie-up with one of these firms. How would you go about choosing among these top 3 firms ?

Few factors that I would look at will include:

- Market Share
- Percentage revenue gained from various geographies.
- Percentage revenue gained from various industries.
- Complementary nature of strengths

Joint Venture (3/3)

Closing the Case

To sum up, I feel the client should enter into a Joint Venture with one of the top 3 players in the IT Software segment which will fulfill the following conditions in order of priority:-

- 1) The Client's strengths are complementary to the strengths of the company with whom the client seeks to have Joint Venture.
- 2) The potential partner has a strong and niche product portfolio that will not likely suffer commoditization.
- 3) Revenue stream is well diversified with regards to Geographies and Industries so as to minimize risks.

Apart from the major issues to consider, the challenges faced by the Client in such a Joint Venture will also have to taken into account. Such challenges can broadly be bucketed into Internal and External challenges:-

Internal Challenges:-

- 1) There could be a possibility that the Client's work culture is incongruent with the work culture of the company in question.
- 2) The Core competencies of the Client and those of the partner are not complementary.

External Challenges:-

- 1) The global macroeconomic situation in general and the economic scenario in the countries which are important from revenue point of view in particular.
- 2) Issues specific to industries which contribute to a large percentage of the partner's revenue stream.
- 3) Major threat from the IT industry in other geographies like Eastern Europe and South East Asia threatening to eat into the market for Indian IT industry.

The Bank Job(1/2)

A European bank wants to enter Indian Market. Guide them through various aspects of the move.

Opening the Case

Clarifying Questions

So what I basically understand is that the client is a bank which wants to enter the Indian Market and we basically need to advise them on the move. So do we do the also have a say on whether they should enter the market at all or they have already made up their mind?

No we will also want recommendation from your side on whether the market is attractive enough.

Okay, one more thing that I would like to ask is whether you have revenue maximization or profit maximization goals in the short to medium time frame?

We will want your to devise a strategy here. We have nothing in mind. Start afresh

Analyzing the Case

Company

Is the client an investment bank or a retail bank?
Both

Tell me something about the countries you operate in?

We operate across Europe in Belgium, UK, Netherlands, Austria and Germany

Tell me something more about the services you provide?

Market leader in retail banking in UK, Germany and Netherlands. Personal loans and business loans for small and medium enterprises has been a big driver of its growth globally

Customer

Moving on to the market attractiveness part of the analysis. Our discussion clearly suggested that retail banking is your core competency. Can you tell me the rate that the sector is estimated to grow at in India?

The sector has grown at a CAGR of 28% till last year. Its is estimated to grow at a similar rate. It is a 1200 billion (INR) market

What are the segments in the business as to what makes up for the 1200 billion?
Most of the business in the retail banking industry is currently generated out of corporate and consumer loans where banks primarily cater to the larger corporate and the upper classes of the society
Is there certain regulations in trying to set up branches or M&A/JV activities?

Nothing that we would like to focus on

Competition

How do we gauge the competitiveness of the market?

The industry is characterized by significant competition from numerous public sector banks, domestic private banks and other international banks like the client; besides the numerous smaller scheduled and co-operative banks throughout India.

And even for the big players in the market the major part of their revenue is driven by corporate and HNI loans?

Yes that sound right

Closing the Case

Looking at the client competencies and the existing market I feel that there is an untapped opportunity in the SME financing and private loans division as there is major players are currently focusing on large corporations and HNIs.

What major problems can you foresee?

The major drawback of lending to smaller corporations is the risk of non-payment. The company has to monitor its NPAs and understand the demographics of working with an Indian population which it is inexperienced in.

Besides this it also needs to understand location evaluation is an important factors when you want to work with the emerging income group population of India

So any final verdicts?

Indian market is growing at an enormous rate and has an ever growing urban and semi urban middle class population. This is the core target groups of our client who is a market dealer in retail banking in major European countries. However the lack of experience and risk of non payment being a bit high in this sector it is probably a sensible to look forward to acquisitions or joint ventures towards entering the Indian market

Chinese Wall (1/4)

An automobile manufacturer is trying to enter the Chinese market and wants to decide whom to target using which of its product offerings and how to enter the market.

Opening the Case

Clarifying Questions

So I understand that the client, an automobile manufacturer, wants to enter the Chinese Market and we are required to advise them on how they should go about it. So do we do have a say on whether they should enter the market at all or have they made up their mind already?

The client has already made up their mind on entering the Chinese market. You are required to advise them on the move.

Just to understand the client better, I would like some information about the client's business operations.

The client manufactures products across most segments including- Passenger Cars, Utility Vehicles, Commercial Vehicles, Electric Vehicles and Two Wheelers

So when you say entry strategy for the client, I understand we would need to touch upon the following things:

1. Entry barriers 2. Target Market 3. Product 5. Go To Market Strategy

Looks exhaustive to me, go on.

Analyzing the Case

Do we have any data regarding the current state of the auto industry in China?

You are provided with the following data regarding the overall industry and the different segments.

	Overall	PV	CV	UV	EV	2 Wheeler	3 Wheeler
Market Share	100%	35%	40%	10%	5%	8%	2%
Growth Rate	18%	15%	18%	18%	25%	23%	12%
Trend	<i>Intense competition in the PV segment has forced manufacturers to look at other segments</i>	<i>Growth rate has declined over the past few years due to drastic decline in prices</i>	<i>Has grown at a fairly constant growth rate owing to the high industrial output</i>	<i>Has seen rising growth rates in the past few years with increase number of indulgent customers</i>	<i>Has started picking up recently with the government's incentives and its push towards sustainability</i>	<i>Low end bikes, viewed as low cost alternatives, are emerging now</i>	<i>Has failed to grow as expected due to innovations in the CV segment acting as substitutes</i>

I can see that the PV and CV segments seem to be the most attractive in terms of share of the industry but other segments like UV, EV and 2W are also attractive due to the high growth rates. I would now like to look at the client in detail and its presence in the different segments.

Chinese Wall (2/4)

Deloitte

Company

Which segment is the largest source of the client's revenues?

UV segment had the highest contribution to revenues last year with nearly half of the revenues

What has been the strategy of the client in this segment?

The client has grown both organically and inorganically in this segment and sells these vehicles in more than 40 countries across 5 continents.

Has the company been successful in any other segments as well?

The client has concentrated less on the PV and CV segments, each of which contribute 10% to the revenues. 2W segment also contributes significantly to the client's revenues making nearly one-fifth of them while EV is a growing segment in its nascent stage and makes up 10% of the revenues.

What has been the strategy of the company in the EV and 2W segments?

The client recently acquired a company in the EV segment and manufactures all kinds of vehicles ranging from E-bikes to compact cars. They have played on the lower end of the 2W segment positioning themselves as a low cost alternative.

I would like to analyze the competition in the Chinese markets now

Competitors

Where would you put the different segments of the auto industry in China on the life cycle chart?

The PV and CV segments are in the mature stage of their lifecycle while UV is closing towards maturity. 2W segment had started declining but has revived since the advent of low end bikes in the market. EV is in the initial stages of its life cycle. 3W is in its decline stage.

I would like to know about the current players in the different segments of the market.

There are more than 50 players in the highly fragmented segment of PV. Both global and local players have significant shares with local brands boasting of nearly 40% of the volumes. The CV segment is a consolidated market with the top 10 players having more than 80% of the market share. The UV segment is dominated by 5 global players who have continuously launched new models leading to numerous choices for the customers. The 2W segment has 10 players with most manufacturing premium bikes and only 2 companies competing in the low end of the market. EV segment has only 2 players of which one is a joint venture between a local and a global company while the other is a local player.

Now, I have a decent understanding of the competition in the various segments.

Govt. Regulations

I would like to also understand the government regulations in the different segment with China being ill-known for the same.
The Government intends to move towards clean energy/ low consumption vehicles due to the increasing pressure of the oil import bill and rising pollution levels in the major cities.

Is there any specific segment the government has incentivized?

With the focus on cleaning energy, the government provides tax holidays for EV manufacturers and has also established easy financing facilities for them at minimal cost. The lower end of the 2W segment has been aided with the low duties charged. This has again been done with the same vision of low consumption of fuel

Are there other regulations benefiting or hindering any specific segment?

The government has tried to thwart the UV segment growth by imposing heavy excise duties on them. They see this segment as a significant contributor to pollution and a threat to the local manufacturers. The govt. recently stated that it would make its best attempt to keep UV growth at a minimal level and hinder entry of other players in this segment.

Closing the Case

Looking at the client competencies and the existing market I feel that there is an untapped opportunity in the EV and low end 2W segments as the client will face considerable obstacles to fight for market share in the highly competitive PV & CV segments. Though, the company is a global brand in the UV segment but the govt. regulations impose several complications for its entry.

How do you think the client should enter the EV and 2W segments?

The EV segment has only 2 players with one a JV and the other a local player. The client should preferably enter into a JV with the local player. Establishing a new manufacturing unit would enhance the cost of these already costly vehicles. Entering into a JV also eliminates the risk of having prior experience in the market. The client can leverage its global brand, the threat posed by the other collaboration and its expertise in the manufacturing of electric vehicles for the same.

For the 2W segment, I would like to suggest establishment of a new manufacturing unit altogether as there are several players already present in the market and the client would want to be in it for the long term.

What major problems can you foresee?

The major issue the client would face is the initial cost of establishing a new unit and the time lost for the same. The client can cover up for the same by marketing themselves to establish their brand during this period or if demand is high, they can look at importing vehicles from the nearest units if capacity allows for the same

So any final verdicts?

The Chinese market is growing at an enormous rate and has an ever growing urban and semi urban middle class population. This would be the primary target groups of our client while selling EV and 2W vehicles. However the lack of experience in the 2W segment is a risk which would not be the same for EV, where the client should enter into a JV with the local player.

Urban Retail Blues (1/3)

Our Client is a large Telecom Operator. They have been recording losses. Find out why?

Opening the Case

Clarifying Questions

What type of product retailing are we talking about here- white goods/ FMCG, etc.?

Our client is involved in the retailing of white goods products

Is the urban retail market fragmented or consolidated?

The urban retail market is fragmented with many players.

Have the other retail chains been facing similar issues recently?

No. The drop in profitability is not an industry wide phenomenon.

Is there anything that the competitors are doing differently?

That is for you to figure out. I will not be answering the case for you.

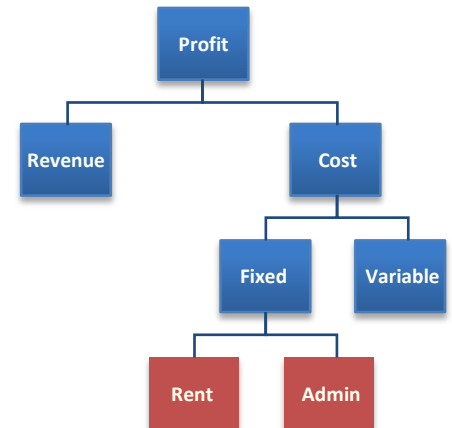
Analyzing the Case

As we know that profits comprise of revenues minus cost, the client's decreasing profitability may be because of increasing costs, decreasing revenues or both. Looking at the revenues, have your revenues/ revenue streams changed in the last few quarters?

No. The revenue stream has been reasonably steady over the last few quarters, with revenue increasing at industry rates.

It seems that the problem stems from the cost side. Dividing the costs into the fixed and variable costs, could I get an estimate of the typical cost structure for the firm?

Typical figures for fixed and variable costs for the client and the urban electronic retail industry are given in the data table.



Based on the data presented in the case

Expressed as %age of revenue

Cost Type	Cost component	Firm	Industry Average
Fixed	Rent	60	30
	Admin	5	5
Variable	Electricity	5	5
	Transport	15	15
	Inventory	10	10

Urban Retail Blues (2/3)

KPMG

Analyzing the Case

Based on the given data, I will be calculating each cost component as a percentage of sales revenues.

Great. Please go ahead and come up with your suggestions.

I observe that the fixed cost of the client is eating into 65% of the revenue, with rent accounting for most of the FC. This is eating into the profitability (5%) of the client.

In contrast, the industry has a much higher profit margin owing to the lower rent (and hence the fixed costs).

Hence, I believe that in order to improve the profits, we need to advise the client to do business in areas that charge lower rents without affecting the revenues.

Could you give me information about the areas out of which most of the other players operate (so as to avail of the lower rents)?

Sure. I think you are going in the right direction. The other urban electronic retailers have been operating out of the suburban areas, which entail lower rent/ leasing costs. Our client has been operating out of the downtown area of the metro, which involves the payment of a huge premium on the rent.

This information helps a lot. However, by operating in the suburban areas, aren't the other players compromising on their revenues from the downtown population?

Your concerns about revenues in the suburban areas are plausible. However, it has been observed that the white goods, being high involvement goods, offer enough incentive for the downtown populace to travel to the suburbs and scout for the most suited products. Also, the other players are able to offer special offers/ discounts/post-sales services to boost the promote purchase.

Fair enough. Could you give me an estimate of the expected change in revenues if our client shifts shop to the suburban areas?

Sure. You can assume for the sake of this case the revenues of the client will drop by 10% if he makes the move to the suburbs.

I will just take a minute to incorporate this piece of information into the profit margin calculation for our client.

I will be assuming that all other cost components will remain constant and won't be impacted by the shift to the suburban are, and will follow the industry standards.

Expressed as % of old revenue

Cost Type	Cost component	Firm
Fixed	Rent	30
	Admin	5
Variable	Electricity	5
	Transport	15
	Inventory	10

Closing the Case

I observe that the shift to the suburbs improves the profit margin (25%) of the firm, and hence I would recommend the move to the suburbs.

Operating profit margin

$$0.9R - 0.65R = 0.25R$$

Final Suggestions

Our client should shift base from downtown to the suburbs to reduce the costs and improve profitability. The client can try to minimize the loss of revenue in the short-term by offering special schemes/ discounts/ superior post-sales services/ free installations to customers.

The Olympic Organizer (1/4)

Deloitte

Our Client, a foreign government needs to organize the Special Olympics at a major city. How would you go about planning the same?

Opening the Case

Clarifying Questions

What all activities come under the purview of the organizing committee of the Special Olympics?

All the functions ranging from financing the Olympics to manpower planning to marketing the event come under the purview of the organizing committee. You can make suitable assumptions and prioritize accordingly.

Is there presence of existing infrastructure at the major city so as to conduct the event? Or do we need to develop the necessary infrastructure?

Yes. The necessary infrastructure for conducting the event already exists. You need to utilize that to organize the Special Olympics.

I am also aware that a major revenue driver for a sporting event of this magnitude is the sponsorships, and advertising revenue. Do I need to concern myself with these?

Good question. As an organizer, you need to concern yourself with all the aspects related to the event. However, for the sake of the case, you need to be concerned with only the revenue from ticketing.

Analyzing the Case

What are the expected number of countries & participants?

For the sake of the case, you can assume that 100 countries would be participating each with a contingent of 40 athletes and 20 administrative officials.

Seems fine, sir. Would I need to decide on the event categories and number of events in each category to be organized?

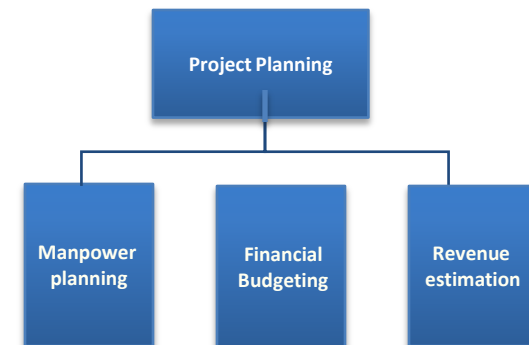
Would not be needed. In fact, we will be providing you the data that you seek. (Hands out data on the event categories, number of events in each category)

Ok sir. So I observe that we need to organize 5 events in each of the 5 event categories. Would it be fair to assume that the manpower, costs and revenues would be the same for each event within the category?

Yes. You may go ahead and make that assumption.

Thank you sir. Now, is it all right if I divide my analysis of the case into 3 major heads: manpower planning, financial budgeting and revenue estimation.

Fair enough. Please go ahead.



Analyzing the Case

In order to estimate the manpower required, I would need the data for the various types- organizing, hospitality, etc.- of manpower required per event per category.

In order to estimate the costs, I would need, in addition to the average manpower cost per event per category, the infrastructure leasing, marketing and any other miscellaneous for each event category. I will be assuming that the non manpower costs- infrastructure, marketing, etc. will be common for a particular event category and hence will not be needed to be calculated on a per event basis.

You're doing great. Please go ahead. We will be providing you with the data that you seek.

Ok sir. I will like to seek one last set of data before I conclude this long list of demands. In order to estimate the revenue from ticketing, I would require the average audience expected per day per event category, and the ticket prices for the same.

Excellent! You have pretty much covered all the aspects we were looking for. Here you go with the data (hands over the data tables-a simplified version of the same is shown on the next slide). All you are left with is plugging the numbers. Brownie points for quick mental calculations.

I would like to go ahead and estimate the revenue from ticketing first before burdening myself with the estimations of costs that will need to be incurred for generating that kind of sales.

Please suit yourself. You can surely have the good things first.

Based on data provided**Total Revenue from ticketing****Quick Calculations made**

Event Category – 5 events per category	Average Daily Number of Spectators	Average Price Per Ticket (USD)	Duration of event(days)	Total Revenue from ticketing(USD)
Athletics	20000	40	8	6,400,000
Aquatics	10000	20	6	1,200,000
Outdoor events	15000	20	6	1,800,000
Racquet sports	10000	20	6	1,200,000
Miscellaneous events	8000	15	4	480,000

The Olympic Organizer (3/4)

Deloitte

Based on data provided**Manpower planning & Total Costs****Quick Calculations made**

Event Category – 5 events per category	Manpower required per event			Average Manpower cost/day (USD)	Duration of events (days)	Total Manpower requirement	Total manpower cost (USD)
	Organizing	Hospitality	Misc. (15%)				
Athletics	300	100	60	50	8	2300	920,000
Aquatics	250	50	45	40	6	1725	414,000
Outdoor events	200	100	45	40	6	1725	414,000
Racquet sports	150	50	30	40	6	1150	276,000
Miscellaneous events	200	100	45	30	4	1725	207,000

Based on data provided**Quick Calculations made**

Event Category – 5 events per category	Infrastructure Leasing Cost/Day (USD)	Average Marketing & Misc. Costs/Day (20%) (USD)	Duration of events (days)	Total project cost (excluding manpower) (USD)	Total project cost (including manpower) (USD)
Athletics	50000	10000	8	480,000	1,400,000
Aquatics	30000	6000	6	216,000	435,600
Outdoor events	40000	8000	6	288,000	702,000
Racquet sports	10000	2000	6	72,000	348,000
Miscellaneous events	10000	2000	4	48,000	255,000

Closing the Case

The calculation tables made from the data provided to me clearly show the estimated revenue from ticketing, the manpower requirement and the project costs associated with each category of events.

In order to summarize, The Special Olympics would generate a total of approximate \$11 million dollars of revenue from ticket sales by incurring an approximate cost of \$3.2 million.

Brilliant! You have done all that we expected of you within the given time constraints. However, could you explain the discrepancy in the costs and the revenues?

I think that we have largely underestimated the costs by neglecting the costs associated with the travel & accommodation of the contingents of each country. I would have needed access to more data regarding the end-to-end costs associated with each of the 6000 hosts expected to arrive at the city concerned. This would have formed a large chunk of the costs and also may have required more investment in the development of necessary infrastructure- athlete villages, roads, etc..

Fair enough. Be rest assured that you will not be burdened with any more data. You have done a good job with the case. Good luck!

Jeans: America to China (1/2)

McKinsey

Our Client, is an American fashion retailer, largely manufacturing and selling jeans in the American market. They're looking to enter the Chinese market; need our help in assessing the market, understanding whether it's a good idea and the criteria for success

Opening the Case

Clarifying Questions

I would like to set the objective – Assess Chinese market for entry, decide whether or not to enter, if yes, what would determine success
Yes, perfectly fine. Please go ahead.

Before I assess the Chinese market, I want to understand our client across a few aspects

- Strategic outlook – Value proposition, brand, reason for entering Chinese market
Our client is an established American brand, we've been known for the most fashionable, trendy and comfortable denim wear. Have become almost synonymous to 'jeans'.
- Products – What differentiates our products? Manufacturing process? Retail? Price range?
Our fashion sense and style differentiates our products, we're able to provide comfort with style. We're priced in the mid to premium range. Costlier than local stores but not as costly as designer stores. We have our own factories for manufacturing – in-house designers, in-house machinery and in-house production. We source cloth from suppliers. Retail through owned single format stores only
- Customer – Who is our customer? Do we play in specific segments?
Our customer base is predominantly female – style conscious, young, comfort seeker, mid-high income group. Also have a mens wear segment but men are less loyal to brand.
- Team – Do we have the team to enter a new market? What are our internal strengths?
We have a strong design team in-house.

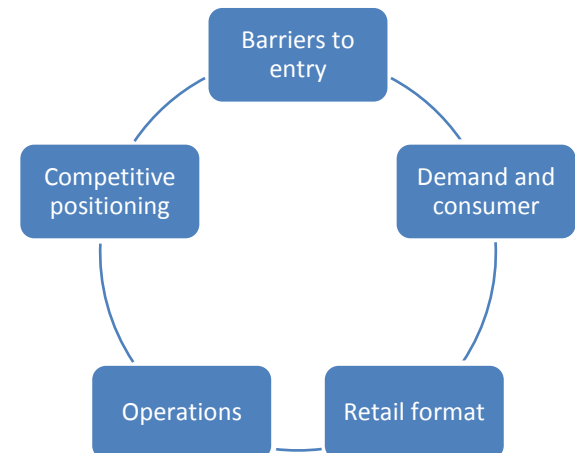
Thank You, this helps me understand the client better. Now, can I have a minute to decide on the parameters to assess the Chinese market

Analyzing the Case

Sir, I think I would want to use the following parameters (as shown alongside)
Sounds ok, lets focus on customers and competition. We've looked at the other factors and they're reasonable conducive. There are few or no barriers to entry, there are available suppliers of raw material in China, we can either set up manufacturing there or continue to manufacture in America and export to China. Retail format will continue to be owned single store. We will have to buy retail space and set up our own stores.

So, I'd like to start with getting an understanding of demand in China. First, for jeans and then for the value proposition that we offer – that is branded, stylish and comfortable jeans. What have trends in China been like?

China has predominantly been a market where historically locally manufactured unbranded clothes have done well. There have been few branded fashion retailers. But over the recent past, the trend for branded wear has caught up. Lets try and estimate demand for our product in China.



Jeans: America to China (2/2)

McKinsey

Analyzing the Case

Based on some given data (the population on China, splits of different age groups, income levels and genders, a split by location for the demand and an approximate cost of setting up stores/distribution in those locations) and some assumptions,

I did some quick calculations to plug the gaps and estimate the market size of branded jeans in China. I also estimated demand, categorized locations into 3 buckets basis priority of targeting/entry.

Ok, looks comprehensive. Can we move on to what parameters would you consider for competition and trends ?

Sure Sir. I would like to discuss competition under 4 broad aspects : **Brand, Price, Place and Product**. Do you think I am missing out on anything Sir ?

Looks fine to me.

Across the case, is there any other gap that I have overlooked ?

Nothing that comes to mind. You can conclude the case.

Closing the Case

Sir, to conclude, I think China is a very favorable market, especially in the locations arrived at, based on the data that was given to me.

To strategically enter China, we should first enter these locations, build our brand; especially among women and then expand over years, based on our abilities and revenues.

The Fruits and Staples Retailer Case (1/2)

BCG

Our Client is a Retailer in Delhi Region with 5 stores, since the beginning the client has been facing decline in profits. He wants to know the reason and our recommendation.

Opening the Case

Clarifying Questions

I would like to clarify the question before I start, the client is a retailer in Delhi, and has been facing decline in profits since the very beginning. I need to find out the reason for the same, and recommend corrective measures. Is there anything that I overlooked Sir ?
Sounds fine. Go ahead.

Now, I would like to know more about our client. What does he deal with ?

The client operates in 3 different segments

- *Fruits and Vegetables*
- *Staples*
- *Miscellaneous*

In this case it's a company specific problem, and company has been unprofitable since past 5 years.

True that. Now, please go ahead.

Analyzing the Case

Sir, I would like to look at the revenues and costs to figure out why the decline.

Sure, please take this data and see what can you do with it

Category	Fruits & Vegetables	Staples	Miscellaneous
Revenue	3 Lks	4 Lks	3 Lks
Margins	40%	10%	10%
Costs (Calculated)	1.8 Lks	3.6 Lks	2.7 Lks

Other Fixed Costs

Rentals – Rs 50, 000

Wastage – Rs 1 Lakh

Overhead – Rs 50, 000

Utilities – Rs 50, 000

Wages – Rs 50, 000

The Fruits and Staples Retailer Case (2/2)

BCG

Analyzing the Case

Based on this data, I would like to state that the revenue is 10 L, whereas the total costs is 11.1 L, which brings us to a loss of 1.1 L a month. Do our competitors also face similar losses ?

Your calculation is spot on. However, our competition is doing pretty well.

Oh, is our supply chain different from theirs ? Are our sources the same as theirs ?

Actually no. They procure from the farmers and we procure from the Mandi

Right there lies the reason Sir. Any data on the kind of margins we're paying over and above them ? Also, is this across all segments or a particular segment ?

A gross margin of 50% in fruits and vegetables

Do we pass on this cost to our customers ? Is there any comparative revenue data for the client and the competition?

(Hands over Data, which clearly states that we charge customers more for fruits and vegetables)

This clearly tells us that we charge customers more (than our competitors) for fruits and vegetables. And, logically speaking, customers are price sensitive in this segment, aren't they Sir ?

Well, I guess they are, since quality probably won't be a differentiating factor here. I think we are done here. Can you summarize it for me ?

Closing the Case

Sir, to summarize

- Using the given data, we understand that we are making a monthly loss of 1.1 L, unlike our competitors who are doing well
- The differentiating factor lies in our sourcing (farmers v/s Mandi)
- As a result, we are passing the extra margin cost to customers, who are price sensitive and prefer our competition to us.

Great, hope to see you in the next round.

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